

How to become your own worst adversary: examining the connection between managerial attributions and organizational relationships with public interest stakeholders[†]

James E. Mattingly*

Department of Management, University of Northern Iowa, Iowa, USA

- *According to numerous studies across multiple disciplines in the social sciences, business organizations tend to develop adversarial relationships with representatives of the public interest. A survey of 62 Public Affairs Managers in publicly held U.S. corporations finds that organizations adopt relational styles similar to those theorized in studies of inter-organizational conflict, organizational communication and stakeholder management. Empirical results support the descriptive power of a two-dimensional model reflecting four relational styles that participating organizations exhibited: avoidance, compliance, co-optation and negotiation. The two dimensions that constitute the model are cooperativeness and boundary spanning. More importantly, managers who attributed power and legitimacy to public interest group stakeholders reported that their organizations were more likely to cooperate with these stakeholders. On the other hand, managers who perceived public interest groups' claims having urgency were more likely to develop communicative, boundary spanning relationships with public interest groups but these relationships were less likely to be cooperative. Because unhealthy relationships with these groups can be detrimental to an organization's long-term prospects, managers must be careful to recognize public interest organizations as potent and legitimate potential allies.*

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Introduction

A company's relationships with citizens' groups can be a source of competitive

advantage for the company or can be a source of perpetual difficulty. Some companies have demonstrated competence in developing relationships with these groups. For example, Starbucks has developed a constructive relationship with Global Exchange, an international non-governmental organization (NGO) concerned about human rights issues, to adopt fair trade practices when purchasing coffee beans (Argenti, 2004). Monsanto's chemical

*Correspondence to: Dr James E. Mattingly, 250 Curris Business Building, University of Northern Iowa, Cedar Falls, IA, USA 50614-0125.

E-mail: jim.mattingly@uni.edu

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business in the 1980s collaborated with citizen groups to inform national environmental policies but its agricultural biotechnology business has avoided citizen group interactions. After abandoning its collaborative policy, the company has experienced difficulty in successfully commercializing products using this technology (Mattingly and Greening, 2002). Although the Sisters of Charity, an order of nuns associated with the Interfaith Center on Corporate Responsibility, has challenged Wal-Mart's employment practices, it has not developed a collaborative relationship to respond to those challenges (Holstein, 2006). As these examples demonstrate, politically active citizens' groups can be beneficial organizational participants and, conversely, they can be potent organizational antagonists. It is clear that an organization's relationships with citizen groups can affect its success and survival—either favourably or adversely—depending on the nature of these relationships.

Although an organization's relationships with citizens' groups can be important to its survival, businesses and trade associations tend to view them as adversaries. In an extensive study of Washington affiliates of U.S. corporations and trade associations, about 60% of corporations and 38% of trade associations identified public interest organizations as their main 'antagonists' (Schlozman and Tierney, 1986: p. 284).¹ Citizens' groups agreed, 68% of them identifying business organizations (corporations and trade associations) as *their* main opponents. Perhaps surprisingly, business groups view labour unions as somewhat *less* a threat than citizens' groups. Only 30% of companies and 24% of trade associations identified labour organizations as opponents. In the socio-political domain, business groups and public interest organizations are key adversaries in an inter-institutional conflict

over control of public policies, albeit with unequal influence,² that ostensibly favor their own interests often to the detriment of the other.

Given the growing potency of public interest groups as organizational stakeholders and the pervasive inability of the business community to build effective relationships with them, this domain of inter-institutional interaction requires intensive study. This article contributes to this line of inquiry by reporting the results of a survey of 62 Public Affairs Managers of large U.S.-based companies in an effort to describe their relational tendencies and to examine how managerial attributions shaped those tendencies. Next, I prepare a context for interpreting these relationships with multi-disciplinary perspective by reviewing relevant literature in the areas of conflict resolution, public relations and stakeholder management. A key point of convergence in these literatures involves a description of relatively stable relational styles in which organizational actors tend to engage when interacting with their stakeholders—including public interest groups. Then I explain how managerial attributions of public interest stakeholders' importance to an organization are among the factors that shape these relational tendencies.

Multi-disciplinary perspectives on describing organizations' relational tendencies

Our challenge, from a social scientific standpoint, is to determine whether organizations' relational patterns with interest groups are random or systematic. If they are random, then there is no reason to study them. If, however, there is some reason to believe that they vary systematically then we should begin to

¹These analyses resulted from extensive structured interviews of 175 Washington, DC lobbyists of organizations representing various sectors, including corporations, business associations, citizens' groups, labor unions and others. It is widely understood to be the authoritative source for knowledge of interest group activity in U.S. politics.

²Numerous multi-disciplinary studies, including Lindblom (1977), Schlozman and Tierney (1986) and Useem (1984) have concluded that business interests enjoy a substantial advantage relative to other institutions in terms of their influence over public policy.

describe the key dimensions of variation and to seek out the sources of variation. Other literature regarding related phenomena in organization studies suggests that such collective action would vary systematically. Moreover, we can infer from the literature that corporate relations with interest groups should follow familiar patterns that researchers have observed when studying inter-group conflict, communication in corporate public relations and stakeholder management.

Early theorizing regarding corporate-stakeholder relations proposed that organizations might develop systematic styles for relating to external stakeholders based on the organization's view of its place in society, or its *worldview*. In Freeman's (1984) early treatise on strategic stakeholder management, he referred to these differing views as organizations' enterprise-level strategies. A subsequent extensive study of the insurance industry confirmed Freeman's proposition when it found that executive managers' philosophies about the organization's role in society played a large part in determining the organization's pre-disposition towards either neglecting or responding positively to the claims of a broad range of societal stakeholders, including public interest groups (Miles, 1987). These complementary theories suggest that the collective action orientation taken by an organization relative to any stakeholder group, including interest groups, should be strongly influenced by the philosophy —whether explicit or implicit—of an organization and its management team about the organization's rightful place in the world. Much less work has sought to describe and explain the *nature* of these differing orientations. However, literature from related inquiries provides clues. Some of these are introduced next.

Convergence on descriptions of relational tendencies

Although little work has been done in the stakeholder literature to validate a description

of organizational orientations towards stakeholder relationships—especially with interest groups—much work has been done in related areas that can be applied to these phenomena. Furthermore, findings in these other areas are complementary to those few studies in the stakeholder literature that consider the subject. These literatures have provided parsimonious models describing collective action and the key variables that determine it. Each model is a description of organizations' relationships with stakeholders and the trajectory that such relationships tend to take under various specific circumstances (Table 1).

Conflict literature

In the conflict literature, the nature of a party's conflict response is found to take one of four styles, depending on a party's (or group's) 'dual concern' for both *its own* outcomes and those of the *other party* to a conflict (Blake and Mouton, 1964; Thomas, 1976). If an organization is little concerned for both its own benefits and those of the other, it will avoid conflict. High concern for the outcomes of both parties would yield problem-solving action. Low concern for one's own benefits and high concern for other's benefits would result in yielding to other's preferences whereas high concern for self and low concern for other's outcomes would result in contending, or competitive action. The result of these propositions is depicted in a joint outcome property space (Table 1). Subsequently, Rahim (1983) validated a survey instrument that provided adequately valid and reliable measures of these conflict behaviours. Consistent with Thomas' (1976) version of the model, Rahim's instrument measured a fifth dimension, called 'compromising', that lay in the middle of the model—representing a moderate amount of concern for the outcomes of both self and other (Table 1). Scholars of conflict management have theorized these actions as conflict-handling styles, arguing that they are often quite stable orientations on the part of individuals, groups and

Table 1. Convergent multi-disciplinary models of inter-organizational relationship styles

Blake and Mouton (1964)	Self-concern	Other-concern	Conflict style
	Low	Low	Avoiding
	High	Low	Contending
	Low	High	Yielding
Rahim (1983)	High	High	Problem-solving
	Self-concern	Other-concern	Conflict style
	Low	Low	Avoiding
	High	Low	Dominating
Grunig (1983)	Low	High	Obliging
	High	High	Integrating
	Moderate	Moderate	Compromising
	Communication	Benefits	PR mode
Mezner and Nigh (1993)	One-way	Asymmetric	Publicity
	Two-way	Asymmetric	Two-way asymmetric
	One-way	Symmetric	Public information
	Two-way	Symmetric	Two-way symmetric
Rowley (1997)	Buffering emphasis	Bridging emphasis	PR strategy
	Low	Low	Low activity
	High	Low	Buffering
	Low	High	Bridging
	High	High	High activity
	Organization centrality	Network density	Response to stakeholder
	Low	Low	Solitarian
	High	Low	Commander
	Low	High	Subordinate
	High	High	Compromiser

organizations for managing conflict (Pruitt and Kim, 2004: p. 41).

Communication literature

The literature on communication in the corporate public relations function has described relationships with external constituencies similarly. A substantial research program has observed and catalogued organizational orientations towards external constituents, including public interest groups, finding a stable set of orientations complementary to those found in studying inter-group and inter-organizational conflict (Grunig, 1983, 1992, 2000; Broom *et al.*, 1997; Grunig and Huang, 1997; Ledingham and Bruning, 1998).

Grunig's (1983) model of public relations styles resulted in four orientations: publicity, public information, two-way asymmetric and two-way symmetric (Table 1). Publicity and public information orientations are both one-way relationships, meaning that the organ-

ization gives information to external constituencies but does not seek information from them. They differ in that firms practicing the publicity relational style give only favourable information about the organization, thereby providing asymmetric (unilateral) benefit only to the sponsoring organization. Conversely, organizations practicing the public information style provide information to constituents about the organization whether such information is favourable or unfavourable—providing benefit to both the sponsoring organization and the external constituent. In both two-way relational styles (symmetric and asymmetric), organizations both *give* information to constituents and *seek* it from them. The difference between two-way symmetric and two-way asymmetric relating is in the use to which such information is put. Two-way symmetric relating involves using information for the joint benefit of both the organization and external constituents, whereas two-way asymmetric relating involves using information to benefit the organization only, sometimes to the detriment of external

constituents. The two-way symmetric relational style is the only orientation found to lead to positive relationships with external constituencies over the long-term (Grunig *et al.*, 2002).

Studies in this research program have discovered that positive organizational relations with interest groups yield long-term benefits in certainty, predictability and stability, whereas negative relationships with interest groups virtually always result in poor organizational reputations and broad public mistrust. These findings are consistent with those in the conflict literature indicating that conflict situations resulting in unilateral, or asymmetric outcomes tend to re-emerge (often in escalated form), whereas conflict situations resulting in multi-lateral, or symmetric outcomes tend to be more permanently resolved (see Thomas, 1976; Pruitt and Kim, 2004 for reviews).

Stakeholder literature

The stakeholder literature in organization study, the body of literature to which this contribution is intended, has developed some basic descriptions of organizational tendencies regarding stakeholder relationship activity. Two models that are particularly applicable to the study of interest group relations are those offered by Meznar and Nigh (1993) and by Rowley (1997). The Meznar and Nigh (1993) formulation theorizes that the two polar responses to external environments proposed by Pfeffer and Salancik (1978)—buffering and bridging—are categorically separate instead of two ends of a single continuum. They theorize that organizations' action tendencies regarding external constituencies can be described as high or low regarding both types of relational activity, resulting in four qualitatively distinct styles of relating (Table 1). Upon surveying Public Affairs Managers, they concluded that organizations' relational tendencies were primarily a function of the organizations' resource dependence on a specific external constituent (Meznar and Nigh, 1995).

Rowley (1997) theorized that an organization's relationship with a broad range of external constituents would be a function of both the density of a stakeholder network and the relative centrality of an organization in that network (Table 1). He theorized that networks can act as governance mechanisms such that organizations in highly dense networks would face greater institutional pressure than would organizations in lower density networks—pressuring them to seek multilateral instead of unilateral relational benefits. Furthermore, he theorized that an organization's centrality in its stakeholder network (an indicator of its power relative to other network actors) would condition whether its relational actions were determined in concert with external constituencies or alone. Rowley's (1998) study of strategic alliance networks validated his earlier model for relationships with market related or technical stakeholders, and Mattingly's (2003) study found similar results when relational subjects were socio-political or institutional stakeholders. Moreover, these studies are consistent with extensive case studies demonstrating that relationships with socio-political stakeholders, including public interest groups, could be a key factor in determining an organization's long-term success (Post *et al.*, 2002). It is clear that organizational relationships vary in systematic patterns and the nature of these relationships has profound consequences, positive or negative, for organizations.

These multi-disciplinary studies of conflict management, organizational communication and stakeholder relationships reinforce a converging approach to describing organizations' relationships with a broad range of constituencies—whether internal or external, technical or institutional. The parsimonious, two-dimensional model yielding four relationship styles has been validated numerous times in empirical study examining organization-constituent relationships in a variety of research settings.

One of the descriptive dimensions explaining organizations' relative positions along one of the model's axes involves whether the

benefits of relational activity are primarily joint or individual, symmetric or asymmetric, multi-lateral or unilateral. This dimension of relational activity is similar to the notion of integrative versus distributive bargaining in the conflict literature (Walton and McKersie, 1965). When parties define conflict situations as having 'win-lose' possibilities, they are more likely to engage in distributive bargaining—to seek solutions to a negotiation in which one party benefits at the other's expense. However, when the parties describe a conflict situation as having 'win-win' possibilities, integrative bargaining is more likely such that creative solutions are sought that maximize overall benefits to both parties.

The other relational dimension implied in the convergence of these models describes the extent to which an organization reaches outside its boundary to gain information, to seek conflict solutions, or to resolve technical or institutional issues. In one-way relationships, or those low on bridging activity, organizations develop solutions involving primarily joint or individual benefits without consultation with affected constituents. In two-way relationships, those higher in bridging activity, affected constituents are participants in organizational conversation—whether their participation results in distributive or integrative solutions. Next, these dimensions of stakeholder relating will be applied to organizational relationships with public interest groups. However, the model developed could as easily be applied to relationships with any other stakeholder segment.

A typology of styles for interest group relating

To describe organizations' tendencies towards relationships with interest groups, I turn to the literature introduced above. If these tendencies are relatively stable in most organizations and are extensions of an organization's collective worldview, as scholars suspect, they should be consistent with the organization's style for handling conflict with inter-

organizational relationship partners. Furthermore, since the corporate public affairs function is the key organizational unit responsible for communicating with stakeholders and managing the organization's relationship with them (Freeman, 1984), its style of communicating should also be intimately intertwined with its relational style.

A parsimonious model of organizational styles of stakeholder relating should include at least two dimensions of relationship activity, consistent with those found in other literature, and should acknowledge four qualitatively distinct styles of stakeholder relating. I have called the first dimension 'cooperativeness', reflecting the extent to which integrative versus distributive relational benefits are emphasized. The second dimension, indicating the extent to which an organization reaches across its boundary in relationship with interest groups, I have called boundary spanning. Combining these two dimensions produces four relational styles that integrate earlier literature examining similar organizational relationship issues (**Figure 1**).

The four distinct relational styles expressed in the model are: avoiding, complying, co-opting and negotiating. Avoiding and complying styles are both low on boundary spanning activities. Neither relational style requires sharing information or resources with an interest group. Organizations that tend to *avoid* interest group stakeholders neither communicate with them nor cooperate with them. These organizations do not view themselves as having joint interests with interest groups, as when Monsanto disbanded its stakeholder committees when it learned that U.S. citizens were strongly against introducing genetically modified materials into their food supply (Mattingly and Greening, 2002). Organizations that tend to *comply* with interest group demands also avoid relational entanglements but they do accede to at least some of their claims.

Both co-opting and negotiating styles are high on boundary spanning activity but vary as to cooperativeness. *Co-opting* is when an organization develops a two-way relationship

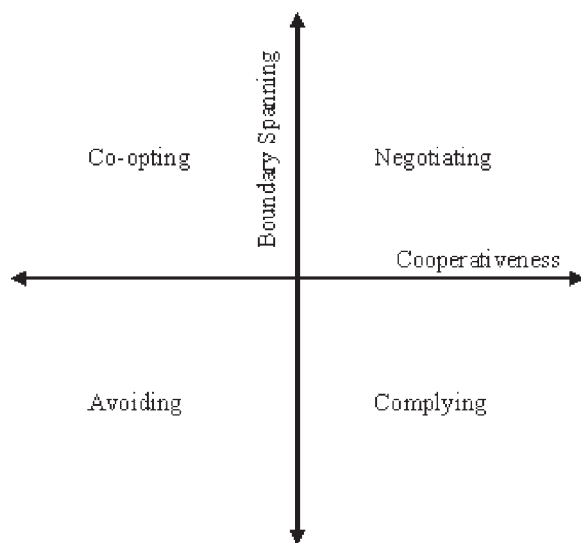


Figure 1. Organizations' relational tendencies towards stakeholders.

with an interest group but the relationship primarily involves the organization attempting to persuade the interest group to adopt the organization's preferences. This relational style is, therefore, high on boundary spanning but low on cooperativeness. *Negotiating* relational activities involve higher levels of both boundary spanning and cooperativeness. Organizations that tend to negotiate with representatives of the public interest—including labour unions—seek creative solutions that benefit both parties. According to research findings introduced earlier, this is the only style of relational activity that ensures a positive relationship with stakeholders in the long-run, thereby maximizing the organization's overall effectiveness and sustainability.

This typology of organizations' relational tendencies provides a means to describe relationships with interest groups in a way that is comparable to similar studies in other fields. It also builds on earlier work in the stakeholder literature. As I have introduced, earlier literature explains some of the consequences of various relational tendencies. One can infer from these studies that the negotiating style would be the most functional for securing an organization's long-term success and for maximizing joint benefits between

organizational constituents. In practice, however, organizations often exhibit relational tendencies other than negotiating with public interest groups—undermining their own long-term success. Therefore, organization studies need to identify the factors that shape these relational tendencies. This article specifically contributes to that research program. Towards that end, the next section reports the results of a study that validates the model of stakeholder relational styles.

Survey results support convergent models of organizational tendencies

Analyses of a 2003 survey of 62 Public Affairs Managers of large, publicly held U.S. companies indicated that these companies' relational tendencies towards public interest groups in recent years varied in ways similar to the model proposed in Figure 1.³ The items included in the survey (Table 2) were adapted from Rowley's (1998) survey of strategic alliance partners and were refined in earlier pilot tests. A factor analysis indicated that the factor structure for the items was reasonably clear: the items loaded on the four factors as expected (with just two exceptions), and the inter-item correlations were adequate (Table 3).⁴ However, because the third item for the negotiation variable and the first item for the compliance variable were complex (they loaded on more

³The organizations participating in this study were large, U.S. companies listed on the Russell 1000 index from a variety of industries. Although the sample size is relatively small, it is well beyond the requirements for applying the central limit theorem and the respondents and non-respondents were not significantly different on any of several demographic variables, including size and financial performance measures. A limitation of the study is that only one manager responded for each organization. The vulnerability inherent in this practice is that the manager's understanding reflected in the survey may not be representative of the organization's practices. This vulnerability may be mitigated somewhat in this study by the fact that the respondents were senior officers having responsibility for public affairs policy.

⁴I used a common factor analysis and oblique rotation as instructed by Conway and Huffcutt (2003) so that any correlation between the four relational activities could be preserved.

Table 2. Items for relational activity scales

Sub-scale	Items
Avoidance	The firm avoids close contact with this socio-political actor The firm's strategy for managing this socio-political actor is to maintain distance The firm is <i>not</i> likely to conceal its intentions from this socio-political actor*
Compliance	The firm is often likely to accommodate this socio-political actor's preferences When expectations differ, the firm is likely to comply with this socio-political actor's preferences When problems arise, the firm will often acquiesce to this socio-political actor's wishes
Co-optation	If problems arise in a relationship with this socio-political actor, the firm attempts to control the solution The firm's strategy for joint action with this socio-political actor is to control the solution If expectations differ, the firm is likely to try to co-opt (control) this socio-political actor
Negotiation	If problems arise, the firm attempts to strike a balance with this socio-political actor's interests To establish a plan of action, the firm attempts to negotiate a compromise with this socio-political actor When expectations differ, the firm is willing to meet this socio-political actor half way

*The items including an asterisk were reverse-coded.

Table 3. Factors and reliabilities for relational activity scales

Items	Avoidance	Negotiation	Compliance	Cooptation
Avoidance-3	0.85			
Avoidance-1	0.69			
Avoidance-2	0.62			
Negotiation-1		0.76		
Negotiation-2		0.61		
Negotiation-3		0.51	0.58	
Compliance-2			0.95	
Compliance-3			0.51	
Compliance-1		0.79	0.48	
Cooptation-2				0.72
Cooptation-3				0.50
Cooptation-1				0.45
Alpha	0.77	0.70	0.66	0.56

than one factor), I obtained factor scores as measures of companies' relational activities instead of calculating an average of the individual items because the factor scores better represent the four underlying relational tendencies. The resulting measures indicated the extent to which each participating company exhibited the characteristics of co-optation, negotiation, avoidance and compliance. All companies expressed some of each of these tendencies but the profiles of emphases among these practices differed.

Although each company expressed all of the four relational activities, they did so in varying degrees. However, organizations tend to develop systematic means for dealing with specific sets of problems. I suspected that it would be possible, therefore, to identify specific groups of companies that emphasized different relational tendencies. Furthermore, I suspected that these tendencies might correspond to the four relational strategies I outlined in Figure 1. Therefore, I divided the 62 companies into distinct groups according to

Table 4. Cluster means for organizations' relational styles

Variables	Complying	Negotiating	Co-opting	Avoiding	<i>F</i>	Sig.	Eta ²
Members	4	34	10	14			
Cooperativeness	2.05	0.50	−1.61	−0.64	48.40	0.000	0.72
Boundary spanning	−0.49	0.28	0.44	−0.84	10.30	0.000	0.35
Avoidance	−1.23	−0.39	1.21	0.44	22.84	0.000	0.54
Negotiation	0.48	0.54	−0.86	−0.83	22.72	0.000	0.54
Compliance	2.10	0.22	−0.91	−0.49	23.75	0.000	0.55
Co-optation	−0.25	0.05	1.02	−0.77	15.29	0.000	0.44

their relational activities with interest groups using a two-stage clustering procedure developed by Milligan (1980). Following this procedure, I first used hierarchical clustering to determine the appropriate number of groups based on systematic differences in their relational activities and to determine the cluster means on the four relational tendency variables used as input data for the procedure.⁵ In the second stage of the cluster analysis I performed non-hierarchical clustering to refine group membership by facilitating *switching* of cases between groups to provide the clearest possible within-group similarity and between-group difference. I used the cluster means resulting from the hierarchical analysis as the 'seed' centres for the four groups in the non-hierarchical analysis. The four resulting groups differed significantly according to their relational activities and each group could be identified as having one of the four proposed relational tendencies based on their emphasis on a particular type of relational activity and de-emphasis on the others (Table 4), as we would expect.⁶

Finally, I hoped to be able to locate each company in a multi-dimensional property space corresponding to the model in

Table 5. Stress analysis for multi-dimensional scaling solutions

Dimensions	Stress	<i>R</i> ²
1	0.34	0.71
2	0.14	0.92
3	0.04	0.99
4	0.00	1.00

The highlighted model represents the best balance between model fit and parsimony

Figure 1, to verify that the axes constituting the property space correspond to the dimensions I theorized, and to use the coordinates of each company in the property space as measures on each of the underlying dimensions for subsequent analysis. Therefore, I subjected the data regarding organizations' relational activities to a multi-dimensional scaling procedure.⁷ A stress analysis (Table 5), the accepted measure of model fit for a multi-dimensional scaling solution (Kruskal and Wish, 1978), indicated that a two-dimensional model represented the best balance of model fit and parsimony. Note that at a stress level of 0.14, 0.92 of the relationship between variables and dimensions is explained—a 0.20 improvement in stress and a 0.21 improvement in *R*²

⁵I used the Ward's agglomerative method and Euclidean distance measures as the input data for the procedure. The Ward's agglomerative method best maximizes both similarity *within* groups and difference *between* groups relative to other agglomerative methods.

⁶These group memberships are not used in subsequent analysis. Instead, the purpose of this analysis is to establish that the pattern of groupings reinforces the model presented in Figure 1.

⁷The Alscal scaling algorithm was used (provided in SPSS for Windows) to plot companies in multi-dimensional space according to their relational activities and then to return the coordinates to be used in subsequent analysis. The primary use of multi-dimensional scaling is to determine the number and interpretation of dimensions underlying a set of variables and the array of cases relative to those variables in the multi-dimensional property space.

Table 6. Correlations for interpreting two dimensions of stakeholder relational styles

	Variables	Mean	St. Dev.	1	2	3	4	5
1	Cooperativeness	0.00	1.14					
2	Boundary spanning	0.00	0.85	−0.01				
3	Avoidance	2.55	0.97	−0.90	−0.08			
4	Negotiation	3.23	0.79	0.74	0.57	−0.66		
5	Compliance	2.33	0.74	0.74	−0.28	−0.45	0.33	
6	Co-optation	3.30	0.74	−0.36	0.81	0.28	0.08	−0.28

Correlations significant at least $p < 0.05$ are given in bold ($N = 62$).

from the one-dimensional model. However, increasing the model from two to three dimensions yields only a 0.10 improvement in stress and only a 0.07 improvement in R^2 . Moreover, the pattern of correlations between the four indicators of organizations' relational activities and companies' coordinates in the two-dimensional property space confirmed that organizations' stances towards interest groups were consistent with the proposed model of relational tendencies (Table 6). Note that cooperativeness is positively and significantly correlated with both negotiation and compliance yet is negatively correlated with both avoidance and co-optation—as proposed in Figure 1. Also note that boundary spanning is positively correlated with negotiation and co-optation but is negatively correlated with avoidance and compliance (although the negative correlation with avoidance is not statistically significant). Furthermore, note that the four groups derived using the cluster analysis are organized in the two-dimensional property space along with the organizations that comprise them in a manner consistent with the proposed model of stakeholder relational tendencies (see Figure 2).

It is clear from these analyses that companies differ significantly in their relational tendencies regarding interest group stakeholders. It is also clear that these various relational tendencies are familiar in that they are similar to other descriptions of inter-organizational relationship styles found in studies of conflict, communication and stakeholder management. Because, as explained earlier, organizational study must begin to discover the organizational

features that shape these relational tendencies, the following section analyses the extent and nature of the effects of managerial attributions.

Managerial attributions shape organizations' relational tendencies

I began this article by presenting some facts illustrating tensions in relationships between public interest groups and corporate interests—especially in the political domain. Subsequently, I presented other findings indicating that organizations are generally more effective in the long-run when they develop positive relationships with public interest groups. These two premises seem to pose a paradox. Organizations can do a better job of securing their long-term survival by developing good relationships with representatives of the public interest, but organizations and the trade associations that represent them tend to develop adversarial relations with these groups. The burning question is, 'How do organizations come to develop such self-defeating tendencies?' The answer to that question is likely complex, involving several competing forces, but part of the answer may be in the way that corporate managers view various stakeholder groups in a manner that shapes the organization's relationships with those groups.

An influential theory in the stakeholder literature is that managerial attributions regarding specific organizational stakeholders determine the extent to which the organization

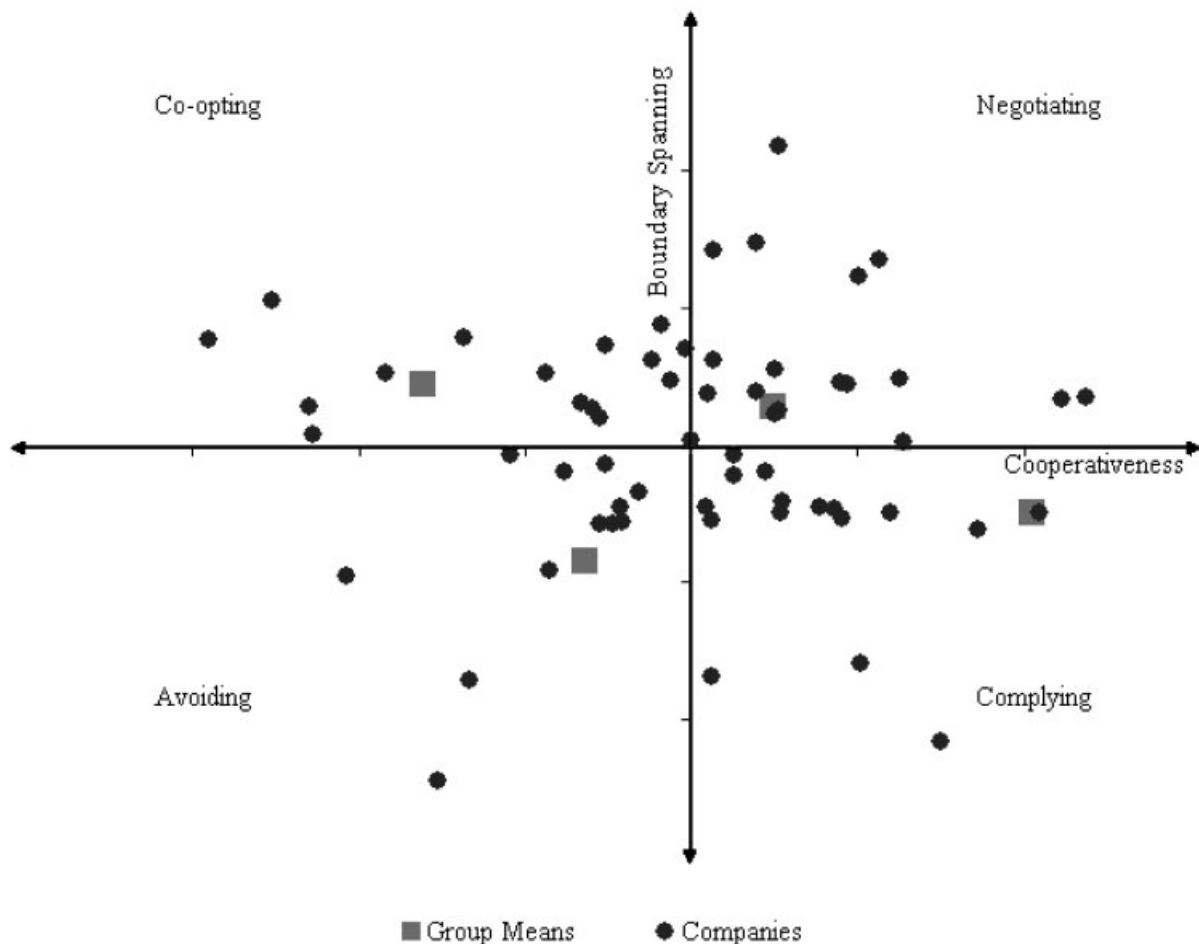


Figure 2. Two-dimensional solution for organizations' relational styles.

truly regards and treats the other as a stakeholder (Mitchell *et al.*, 1997). Stakeholders who are more salient to a management team will receive more attention from it and, therefore, are more likely to have their claims heard and met. Three factors that determine the extent to which a stakeholder is salient to a management team are the power, legitimacy and urgency of a specific stakeholder. The more of these three attributes that are held by a particular stakeholder, the more responsive an organization and its management team is likely to act towards it, according to the theory. A subsequent study confirmed the distinction between the three distinct managerial attributions—power, legitimacy and urgency, their connection to overall salience, and the connection between salience and responsiveness

to a particular stakeholder segment (Agle *et al.*, 1999). This study reinforced those earlier findings regarding the distinction that managers make when attributing power, legitimacy and urgency to stakeholders (see **Table 7** for survey items). The three components of stakeholder salience clearly loaded on three separate factors as the theory posits (**Table 8**).⁸

Difficulty arises when trying to apply the theory of stakeholder salience to the model of

⁸For this factor analysis I used an orthogonal rotation since the three factors are considered in theory to be independent of one another. Again, I used the factor scores for the three variables instead of taking an average of the items because the second item in the power sub-scale loaded also on the urgency scale so the factor scores would better represent the underlying stakeholder salience components than would calculated variables.

Table 7. Items for stakeholder salience scales

Sub-scale	Items
Legitimacy	The claims of this particular socio-political group were viewed by the management team as legitimate (appropriate) The claims of this group were authoritative in the eyes of the management team
Power	The management team believes that the claims of this socio-political actor were <i>not</i> valid* This socio-political actor had power (ability to use coercive force to obtain its will) whether used or not This socio-political actor had access to, influence on, or the ability to impact the firm
Urgency	This socio-political actor had the power to enforce its claims on the firm—whether used or not This socio-political actor exhibited urgency (active pursuit of claims if felt were important) in its interactions with the firm This socio-political actor urgently communicated its claims to the firm This socio-political group actively sought the attention of the firm's management team

*The items including an asterisk were reverse-coded.

Table 8. Factors and reliabilities for stakeholder salience scales

Items	Urgency	Legitimacy	Power
Urgency-3	0.87		
Urgency-2	0.83		
Urgency-1	0.78		
Legitimacy-3		0.87	
Legitimacy-1		0.86	
Legitimacy-2		0.74	
Power-3			0.85
Power-1			0.69
Power-2	0.50		0.48
Alpha	0.81	0.80	0.68

Table 9. Correlations for stakeholder salience variables

Variables	Mean	St. Dev.	1	2	3	4
1 Cooperativeness	0.00	1.14				
2 Boundary spanning	0.00	0.85	−0.01			
3 Urgency	3.17	0.93	0.04	0.37		
4 Legitimacy	2.76	0.88	0.59	0.22	0.00	
5 Power	2.85	0.84	0.22	−0.06	0.00	0.00

Correlations significant at least $p < 0.05$ are given in bold ($N = 62$).

stakeholder relational styles. The theory argues that organizations are responsive to various stakeholder groups largely as a function of the salience components—power, legitimacy and urgency. However, stakeholder responsiveness in this formulation is viewed as a single dimension. Responsiveness is a linear function of salience. The model of stakeholder relational tendencies I have proposed, however, is a two-dimensional model—consisting of both cooperativeness and boundary spanning. The cooperativeness dimension in this model is closest to the responsiveness variable assumed in the salience theory. As the theory goes, cooperativeness should be a function of power, legitimacy and urgency. If so, then

these three variables are, indeed, part of a single construct that we can call stakeholder salience. If the three relate to different dimensions of the model then they are qualitatively distinct and should be identified as separate theoretical constructs.

To examine this question I constructed two regression models, aimed at measuring the extent to which power, legitimacy and urgency tend to produce cooperativeness, boundary spanning or both (see **Table 9** for correlations). The regression results (**Table 10**) indicate that cooperativeness is a function of legitimacy and power *but not of urgency*. Boundary spanning is a function of urgency, but not of legitimacy and power. Furthermore, the effects are substantial, indicating R^2 of 0.39

Table 10. Regressions: relational styles on stakeholder salience variables

Independent variables	Cooperativeness		Boundary spanning	
	β	Sig.	β	Sig.
Legitimacy	0.59	0.000	0.22	0.065
Power	0.22	0.037	−0.06	0.608
Urgency	0.04	0.695	0.37	0.002
R^2	0.39	0.000	0.19	0.006

for cooperativeness and 0.19 for boundary spanning.

These findings suggest that urgency—the extent to which a stakeholder's claim on an organization is time-sensitive and critical *to the stakeholder*—is a qualitatively separate attribution from power and legitimacy. Power and legitimacy produce cooperativeness in organizations but urgency produces only boundary spanning. Moreover, a close review of the model of stakeholder relating suggests that managers who attribute high urgency to a stakeholder and low legitimacy and power would engage in a co-optation strategy with that stakeholder (high in boundary spanning but low in cooperativeness). A closer reading of Mitchell *et al.* (1997) may suggest an explanation for the special relationship between legitimacy and power (and the distinction from urgency). They cite Weber (1947) in proposing that legitimacy and power comprise a party's *authority*. This study's findings suggest that a stakeholder that has authority, in the eyes of an organization's management team, will receive cooperation, whereas a stakeholder whose claims are only urgent will experience co-optation. Co-optation is a relational tendency whereby the organization attempts to *persuade* a stakeholder to adopt *its* action preferences. Therefore, if an organization perceives an interest group's claims as urgent (to the interest group), the organization will try to persuade it instead of cooperating with it. Organizations tend to cooperate only with interest groups whose claims it considers

authoritative—having both legitimacy and power.

Conclusions

Recall my earlier question: 'How do organizations come to develop unhealthy relationships with interest groups if these relationships can adversely affect organizations' sustainability?' A substantial portion of the answer has to do with the attributions managers develop towards public interest group stakeholders. Managers who view the claims of these stakeholders as illegitimate will lead their companies to co-opt them or even to avoid them, as Monsanto did when its genetic modification technologies met resistance (Mattingly and Greening, 2002). Managers who view these groups as impotent (low in power) also neglect these critical relationships, as did Wal-Mart with the Sisters of Charity (Holstein, 2006). In these cases, managers' biases help shape dysfunctional tendencies that can put the organization at risk of serious misalignment with environmental forces. Managers, in this way, can accidentally be their own worst enemies. More effective managers lead their organizations to develop negotiating relationships with public interest stakeholders, involving two-way communication and a concern for joint benefits instead of unilateral benefits. The results of this study indicate that a more healthy approach to relationships with public interest groups begins with a conscious effort to develop more appropriate attributions

towards them. Specifically, managers should recognize both the legitimacy and the potential power of these stakeholders—not only because they are representatives of the public interest but also because doing so helps to secure the long-term sustainability of the enterprise.

Managers' attributions do not account for the entire problem, though. According to the regression results, salience attributions accounted for much—but not all—of surveyed companies' relational tendencies with public interest groups. This should not be surprising, however, because managers do not constitute the entire company. They do not make all the decisions nor do they take all of the actions through which relationships with public interest groups and other stakeholders are formed—good, bad or indifferent. Many other organizational variables, including culture, must be included in a more complete explanation of the forces that shape companies' stakeholder relational tendencies. Further study must consider these additional variables.

Although a parsimonious model of organizations' stakeholder relational tendencies will result in a simpler understanding of organizational activity, even a parsimonious model may require more than the two-dimensional formulation proposed here. Although the three-dimensional scaling solution appeared not to add adequate explanatory value to warrant the additional complexity, the incremental model fit was not trivial. Further scaling studies should test different instruments in various settings to determine whether the addition of a third dimension provides a categorically improved understanding of organizations' relational tendencies—and whether a third dimension helps us to better understand the factors that shape these tendencies, such as managerial attributions, organization cultures and environmental forces.

Biographical note

James E. Mattingly is Assistant Professor of Management and Policy at the University of Northern Iowa. His interest in the politics

of economic organization has resulted in book chapters and articles examining stakeholder relationships and corporate social and political action, in publications such as *Academy of Management Review*, *Business & Society*, and *Business & Society Review*.

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